Interim Consolidated Financial Statements
(Expressed in Canadian dollars)

CANADA BREAD COMPANY, LIMITED

Three months ended March 31, 2006 and 2005

CANADA BREAD COMPANY, LIMITED

Consolidated Balance Sheets
(In thousands of Canadian dollars)

	As at March 31, 2006	As at March 31, 2005	As at December 31, 2005
	(Unaudited)	(Unaudited)	
ASSETS			
Current assets			
Cash and cash equivalents	**$ –**	$ 19,071	$ 11,382
Accounts receivable (Note 4)	**27,097**	19,207	22,070
Inventories	**38,809**	32,960	35,955
Future tax asset – current	**5,245**	6,711	5,327
Prepaid expenses and other assets	**5,052**	1,830	2,142
	76,203	79,779	76,876
Property and equipment	**354,565**	354,538	353,669
Goodwill	**315,362**	324,477	314,949
Other long-term assets	**940**	3,075	1,252
Future tax asset – non-current	**10,242**	6,622	8,669
Other intangibles	**5,654**	6,143	5,948
	$ 762,966	$ 774,634	$ 761,363
LIABILITIES AND SHAREHOLDERS' EQUITY			
Current liabilities			
Bank indebtedness	**$ 3,674**	$ –	$ –
Accounts payable and accrued charges	**120,598**	122,030	136,385
Due to Maple Leaf Foods Inc.	**3,648**	323	4,736
Dividends payable	**1,525**	1,525	1,525
Income and other taxes payable	**14,580**	15,860	22,624
Current portion of long-term debt	**182**	118,281	226
	144,207	258,019	165,496
Long-term debt	**35,589**	322	32,083
Future tax liability	**23,717**	23,842	23,303
Other long-term liabilities	**5,908**	6,103	5,749
Shareholders' equity	**553,545**	486,348	534,732
	$ 762,966	$ 774,634	$ 761,363

The accompanying notes to the consolidated financial statements are an integral part of these statements.

CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Earnings
(In thousands of Canadian dollars, except share amounts)

(Unaudited)	Three months ended March 31, **2006**	2005
		(As Restated) (Note 2(a))
Sales	**$ 301,564**	$ 289,376
Earnings from operations before restructuring costs	**28,001**	22,025
Restructuring costs (note 3)	**–**	4,723
Earnings from operations	**28,001**	17,302
Other income	**186**	308
Earnings before interest and income taxes	**28,187**	17,610
Interest expense	**729**	1,701
Earnings before income taxes	**27,458**	15,909
Income taxes	**8,061**	4,024
Net earnings	**$ 19,397**	$ 11,885
Earnings per share - basic	**$ 0.76**	$ 0.47
Earnings per share - diluted	**$ 0.76**	$ 0.47
Weighted average number of shares (millions)	**25.4**	25.4

Consolidated Statements of Retained Earnings
(In thousands of Canadian dollars)

(Unaudited)	Three months ended March 31, **2006**	2005
Retained earnings, beginning of period	**$ 406,649**	$ 337,827
Net earnings	**19,397**	11,885
Dividends declared ($0.06 per share; 2005: $0.06 per share)	**(1,525)**	(1,525)
Retained earnings, end of period	**$ 424,521**	$ 348,187

The accompanying notes to the consolidated financial statements are an integral part of these statements.

CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Cash Flows
(In thousands of Canadian dollars)

(Unaudited)	Three months ended March 31, **2006**	2005
CASH PROVIDED BY (USED IN)		
Operating activities		
Net earnings	**$ 19,397**	$ 11,885
Add (deduct) items not affecting cash:		
Depreciation and amortization	**11,294**	10,599
Future income taxes	**(1,077)**	(613)
Gain on sale of property and equipment	**(162)**	(252)
Other	**116**	104
Change in operating working capital	**(35,084)**	(25,666)
	(5,516)	(3,943)
Financing activities		
Dividends paid	**(1,525)**	(1,525)
Increase in long-term debt	**3,294**	25,224
	1,769	23,699
Investing activities		
Additions to property and equipment	**(9,870)**	(11,940)
Proceeds from sale of property and equipment	**276**	2,069
Purchase of net assets of business	**(1,865)**	**–**
Change in intangible assets	**150**	(126)
	(11,309)	(9,997)
Increase in cash and cash equivalents	**(15,056)**	9,759
Cash and cash equivalents, beginning of period	**11,382**	9,312
Cash and cash equivalents, end of period	**$ (3,674)**	$ 19,071

The accompanying notes to the consolidated financial statements are an integral part of these statements.

CANADA BREAD COMPANY, LIMITED

Segmented Financial Information
(In thousands of Canadian dollars)

(Unaudited)	Three months ended March 31, **2006**	2005
Sales (Note 2(a))		
Fresh Bakery	**$ 207,494**	$ 197,825
Frozen Bakery	**94,070**	91,551
	$ 301,564	$ 289,376
Earnings from operations before restructuring costs		
Fresh Bakery	**$ 21,576**	$ 15,020
Frozen Bakery	**6,425**	7,005
	$ 28,001	$ 22,025
Additions to property and equipment		
Fresh Bakery	**$ 5,551**	$ 4,181
Frozen Bakery	**4,319**	7,759
	$ 9,870	$ 11,940
Depreciation and amortization		
Fresh Bakery	**$ 5,812**	$ 5,622
Frozen Bakery	**5,482**	4,977
	$ 11,294	$ 10,599

	As at March 31, 2006	As at March 31, 2005	As at December 31, 2005
	(Unaudited)	(Unaudited)	
Total assets (Note 2(b))			
Fresh Bakery	**$ 358,492**	$ 355,459	$ 360,842
Frozen Bakery	**341,159**	352,726	351,737
Non-allocated assets	**63,315**	66,449	48,784
	$ 762,966	$ 774,634	$ 761,363

The accompanying notes to the consolidated financial statements are an integral part of these statements.

1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or “the Company") and its subsidiaries operate in the bakery industry across North America and internationally. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread, rolls, bagels and par-baked bread. Canada Bread is 87.5% owned by Maple Leaf Foods Inc. ("Maple Leaf") as at March 31, 2006.

2. SIGNIFICANT ACCOUNTING POLICIES

The unaudited interim consolidated financial statements should be read in conjunction with the annual consolidated financial statements for the year ended December 31, 2005. These unaudited interim consolidated financial statements have been prepared in accordance with Canadian generally accepted accounting principles using the same accounting policies as were applied in the consolidated financial statements for the year ended December 31, 2005, except for the following:

a) Accounting Changes

Effective January 1, 2006 the Company retroactively adopted, with restatement of prior periods, the guidance presented in EIC Abstract 156 “Accounting by a Vendor for Consideration Given to a Customer (including a Reseller of the Vendor’s Products)”. The EIC requires vendors to classify certain consideration provided to customers as a reduction of revenue rather than as cost of sales unless the vendor receives, or will receive an identifiable benefit in exchange for the consideration. The impact of the adoption of this standard was a reduction in sales during the quarter of approximately $30.5 million (2005: $27.5 million).

b) Comparative figures

Certain 2005 comparative figures have been reclassified to conform to the financial statement presentation adopted in 2006 and the year ended 2005.

3. RESTRUCTURING COSTS

During the first quarter of 2005, the Company recorded $4.7 million in restructuring costs ($3.2 million after tax), relating primarily to the closure of its bakery in Peterborough, England and the closure of a pasta manufacturing line due to the termination of a co-packing arrangement with Maple Leaf. Included in the $4.7 million were provisions of $1.4 million relating to employee terminations, facility exit costs and other restructuring costs. Of the $1.4 million in provisions, a balance of $0.6 million remains at March 31, 2006.

4. ACCOUNTS RECEIVABLE

Under revolving securitization programs, the Company has sold, with limited recourse, certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and assumes limited recourse obligations for delinquent receivables. At March 31, 2006, trade accounts receivable amounting to $70.0 million (March 31, 2005: $70.0 million; December 31, 2005: $70.0 million) has been sold under these programs.

5. PENSIONS

During the quarter, the Company recorded $2.5 million related to net benefit plan expense (2005: $2.3 million).

6. ACQUISITIONS

On March 24, 2006, the Company acquired Harvestime Limited (Harvestime), a bakery in Walsall, England for net cash consideration of $1.9 million. Harvestime is a producer of par-baked breads, rolls and specialty bakery products. The Company has not yet finalized the purchase price allocation for this acquisition.

7. SUPPLEMENTAL CASH FLOW INFORMATION

	Three months ended March 31,	
	2006	2005
Net interest paid	**$ 729**	$ 2,234
Net income taxes paid	**17,277**	15,190